

Outlook

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Follow-up: what happens just inside the affordability cut-off?

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. Different teams have produced different answers from the same period, so population and timing rules need to be visible.

Could the answer be that verified expenses or income quality create the main uncertainty? Or are we actually seeing that product and term explain the outcome? I also do not want us to miss the possibility that thin discretionary income predicts later stress.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2021 as the new evidence point rather than recycling the earlier conclusion. The practical decision is whether policy buffers, verification or monitoring should change. Please send a Power BI page with drill-through to a reproducible case list; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Regards